Problem/Example-1 : Oliver Goldsmith (Solution)

Requirement 1 : Journalizing the transections.

Month: Sentember Oliver Gold Smith Attorney. Journal Entries

Date	Accounts & Explanations	Debit	Credit
Sep. 3	Cash	20,000	
	Capital		20,000
4	Supplies	200	
	Furniture	1800	
	Accounts Payable		2000
6	Cash	1000	
	Service Revenue		1000
7	Land	15000	
	Cash		15000
10	Accounts Receivable	900	
	Service Revenue		900
14	Accounts Payable	1800	
	Cash		1800
15	Salary expense	600	
	Cash		600
16	Utilities Expense	120	
	Cash		120
17	Cash	700	
	Accounts Receivable		700
20	Accounts Receivable	800	
	Service Revenue		800
24	Utilities Expense	110	
	Cash		110

Date	Accounts & Explanations	Debit	Credit
Sep 28	Cash	1500	
	Service Revenue		1500
30	Salary Expense	600	
	Cash		600
30	Rent Expense	500	
	Cash		500
30	Withdrawals	2000	
	Cash		2000

Requirement 2:

Oliver Goldsmith Attorney
T Accounts / Ledger
For September 20xx

Cash

Sep3,	20000	Sep7,	15000
6,	1000	14,	1800
17,	700	15,	600
28,	1500	16,	120
		24,	110
		30,	600
		30,	500
		30,	2000
	23200		20730
	20730		
Bal.	2470		

Capital

		Sep3,	20000
		Bal.	20,000

Supplies

Sep4,	200		
Bal.	200		

Furniture

Sep 4,	1800		
Bal.	1800		

Accounts Payable

Sep 14,	1800	Sep. 4,	2000
		Bal.	200

Service Rev.

		Sep. 6,	1000
		10,	900
		20,	800
		28,	1500
		Bal.	4200

Land

Sep 7,	15000		
Bal.	15000		

Accounts Receivable

Sep. 10,	900	Sep 17,	700
20,	800		
	1700		700
	700		
Bal.	1000		

Salary Expense

Sep 15,	600		
30,	600		
Bal.	1200		

Utilities Expense

Sep 16,	120		
24,	110		
Bal.	230		

Rent Expense

Sep 30,	500		
Bal.	500		

Withdrawals

Sep 30,	2000		
Bal.	2000		

24400

Requirement 3:

Trial Balance of Oliver Goldsmith Attorney
September 30, 20XX

Debit Balances		Credit Balances	
Cash	2470	Capital	20,000
Supplies	200	Accounts Payable	200
Furniture	1800	Service Revenue	4200
Land	15000		
Accounts Receivable	1000		
Salary Expense	1200		
Utilities Expense	230		
Rent Expense	500		
Withdrawals	2000		
Total	24400	Total	24400